ANNUAL OPERATING BUDGET

Nautilus Onyx Tower | Richmond, VA

Property	Nautilus Onyx Tower
Fiscal Year	2021
Submitted By	Orion Commercial Management
Submitted	October 3, 2026

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$204,700	$199,995	$201,874	-$2,825	-1.4%	$7,476.83
5010 Loss to Lease	$197,439	$203,193	$216,172	$18,732	9.5%	$8,006.36
5020 Vacancy Loss	$1,162,279	$1,133,278	$1,135,500	-$26,779	-2.3%	$42,055.54
5030 Concessions	$239,221	$256,141	$260,856	$21,635	9.0%	$9,661.33
5040 Bad Debt	$364,494	$354,602	$377,378	$12,884	3.5%	$13,976.96
5050 Late Fees	$457,934	$426,718	$441,526	-$16,408	-3.6%	$16,352.81
5060 Utility Reimbursements	$577,547	$609,679	$615,962	$38,415	6.7%	$22,813.39
5070 Parking Income	$974,341	$1,001,382	$1,013,226	$38,885	4.0%	$37,526.87
5080 Application Fees	$1,040,325	$1,033,560	$1,085,479	$45,155	4.3%	$40,202.94
5090 Pet Rent	$1,170,654	$1,101,376	$1,130,891	-$39,764	-3.4%	$41,884.84
5100 Laundry Income	$675,165	$680,109	$705,824	$30,659	4.5%	$26,141.62
5110 Cable/Internet Revenue	$551,806	$595,051	$597,179	$45,373	8.2%	$22,117.75
5120 CAM Reimbursements	$1,065,693	$1,147,328	$1,192,301	$126,608	11.9%	$44,159.31
5130 Tax Reimbursements	$1,058,950	$1,142,600	$1,180,870	$121,921	11.5%	$43,735.93
5140 Insurance Reimbursements	$91,002	$90,154	$91,627	$625	0.7%	$3,393.59
5150 Percentage Rent	$864,174	$869,632	$929,427	$65,253	7.6%	$34,423.22
5160 Misc. Income	$388,184	$364,787	$370,855	-$17,329	-4.5%	$13,735.36
5170 Payroll - Management	$152,942	$164,034	$174,937	$21,996	14.4%	$6,479.15
5180 Payroll - Leasing	$348,206	$350,643	$360,038	$11,832	3.4%	$13,334.75
5190 Payroll - Maintenance	$541,478	$500,285	$511,525	-$29,952	-5.5%	$18,945.38
5200 Payroll Taxes & Benefits	$728,327	$679,442	$715,759	-$12,568	-1.7%	$26,509.59
5210 Repairs - Plumbing	$769,619	$762,733	$810,085	$40,466	5.3%	$30,003.15

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$1,173,713	$1,155,678	$1,159,659	-$14,054	-1.2%	$42,950.34
5410 Resident Events	$534,486	$551,876	$558,057	$23,571	4.4%	$20,668.79
5420 Office Supplies	$561,152	$527,969	$542,995	-$18,157	-3.2%	$20,110.94
5430 Legal & Professional	$574,453	$578,901	$602,967	$28,514	5.0%	$22,332.11
5440 Accounting & Audit	$959,396	$890,580	$892,634	-$66,763	-7.0%	$33,060.51
5450 Licenses & Permits	$56,227	$52,563	$53,590	-$2,637	-4.7%	$1,984.82
5460 Management Fee	$323,070	$303,167	$319,146	-$3,924	-1.2%	$11,820.21
5470 Property Insurance	$165,890	$169,798	$174,643	$8,753	5.3%	$6,468.25
5480 Real Estate Taxes	$872,842	$886,267	$896,724	$23,883	2.7%	$33,212.01
5490 Asset Management Fee	$1,058,650	$1,119,957	$1,132,424	$73,774	7.0%	$41,941.62
5500 Replacement Reserves	$933,145	$1,005,314	$1,059,884	$126,739	13.6%	$39,254.98
5510 Roof Repairs	$821,804	$814,162	$832,163	$10,359	1.3%	$30,820.87
5520 Parking Lot Repairs	$986,192	$1,028,932	$1,091,129	$104,937	10.6%	$40,412.18
5530 Signage	$652,520	$606,758	$620,122	-$32,398	-5.0%	$22,967.48
5540 Tenant Improvements	$68,903	$72,325	$75,067	$6,164	8.9%	$2,780.27
5550 Leasing Commissions	$994,536	$944,409	$955,548	-$38,987	-3.9%	$35,390.68
5000 Gross Potential Rent	$1,154,180	$1,242,779	$1,308,793	$154,614	13.4%	$48,473.83
5010 Loss to Lease	$1,086,339	$1,064,591	$1,069,262	-$17,077	-1.6%	$39,602.29
5020 Vacancy Loss	$380,852	$386,008	$402,037	$21,186	5.6%	$14,890.27
5030 Concessions	$1,006,754	$980,561	$999,963	-$6,791	-0.7%	$37,035.68
5040 Bad Debt	$392,100	$385,600	$398,150	$6,051	1.5%	$14,746.31
5050 Late Fees	$1,090,529	$1,158,696	$1,177,442	$86,912	8.0%	$43,608.95
5060 Utility Reimbursements	$195,405	$208,101	$221,863	$26,458	13.5%	$8,217.13
5070 Parking Income	$383,528	$372,555	$387,270	$3,743	1.0%	$14,343.34
5080 Application Fees	$554,491	$570,782	$573,347	$18,856	3.4%	$21,235.06
5090 Pet Rent	$524,320	$511,234	$536,484	$12,164	2.3%	$19,869.78
5100 Laundry Income	$816,309	$791,975	$845,977	$29,668	3.6%	$31,332.48
5110 Cable/Internet Revenue	$838,529	$808,403	$843,008	$4,478	0.5%	$31,222.50
5120 CAM Reimbursements	$847,754	$828,042	$856,617	$8,864	1.0%	$31,726.56
5130 Tax Reimbursements	$577,243	$579,529	$617,337	$40,094	6.9%	$22,864.32
5140 Insurance Reimbursements	$263,048	$256,782	$273,871	$10,823	4.1%	$10,143.36
5150 Percentage Rent	$421,609	$433,663	$446,125	$24,516	5.8%	$16,523.15
5160 Misc. Income	$962,370	$949,303	$954,104	-$8,266	-0.9%	$35,337.17
5170 Payroll - Management	$611,652	$598,812	$621,118	$9,467	1.5%	$23,004.39
5180 Payroll - Leasing	$658,002	$624,455	$626,995	-$31,007	-4.7%	$23,222.04
5190 Payroll - Maintenance	$649,029	$696,521	$700,032	$51,003	7.9%	$25,927.12
5200 Payroll Taxes & Benefits	$439,036	$452,916	$464,780	$25,744	5.9%	$17,214.07
5210 Repairs - Plumbing	$337,870	$314,108	$314,125	-$23,745	-7.0%	$11,634.26
5220 Repairs - HVAC	$515,621	$482,903	$508,912	-$6,709	-1.3%	$18,848.60
5230 Repairs - Electrical	$1,108,877	$1,122,385	$1,170,395	$61,518	5.5%	$43,347.96

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Valuation Discussion

The going-in capitalization rate of 5.81% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. Effective gross income for the trailing period was $378,000, representing a 3.5% increase over the prior year. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 4 years and in-place rents average $48 per square foot, full service gross. The going-in capitalization rate of 7.73% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 39 per 1,000 square feet, and a tenant lounge with fitness center. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Service requests are tracked through a work-order system with an average completion time of 7 hours. Floor plates are efficient and column-spacing supports open and private-office layouts.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 41 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Collections for the period were 88.4% of billed charges, with bad debt of 4.5% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members.

Financial Analysis

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $373,000, representing a 3.6% increase over the prior year.

Weighted average lease term remaining is 8 years and in-place rents average $48 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses.

Property Operations

Weighted average lease term remaining is 5 years and in-place rents average $48 per square foot, full service gross. Service requests are tracked through a work-order system with an average completion time of 44 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 89.6% of billed charges, with bad debt of 5.0% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts.

Financial Analysis

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $12,000, representing a 4.9% increase over the prior year. Operating expenses totaled $191,000 or approximately 14.05 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 3 years and in-place rents average $48 per square foot, full service gross.

Operating expenses totaled $215,000 or approximately 17.90 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.41% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $251,000, representing a 5.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts.

Leasing and Marketing

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